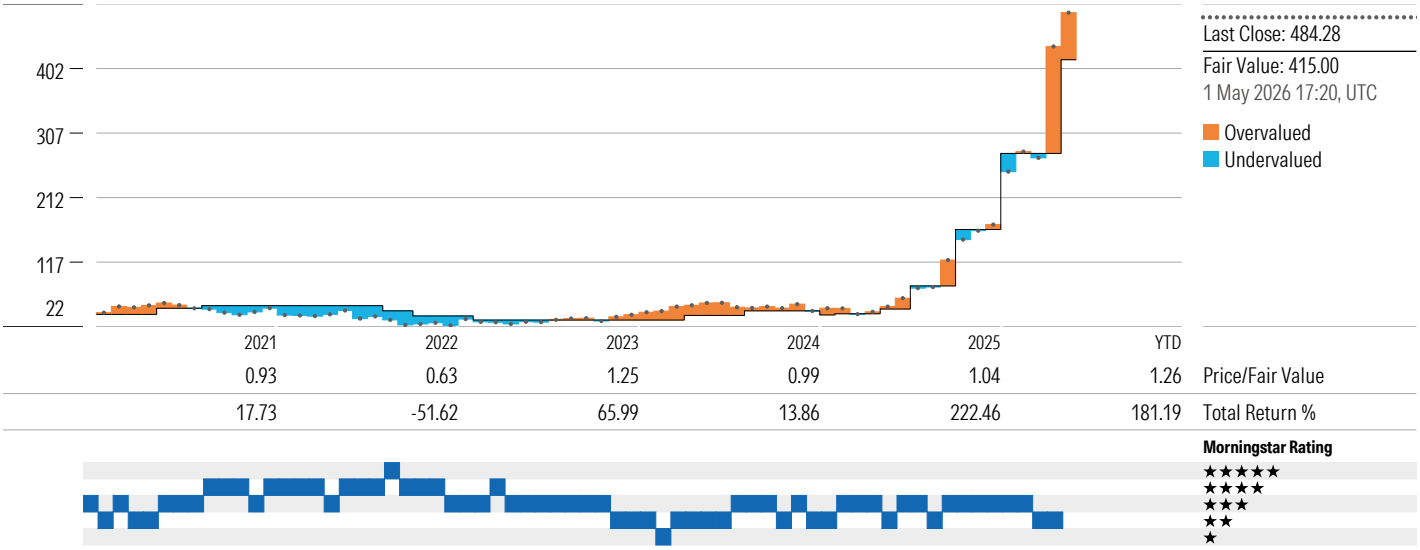
Western Digital Corp WDC ★★ 26 May 2026 21:26, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
484.28 USD 22 May 2026	415.00 USD 1 May 2026 22:20, UTC	1.26	180.84 USD Bil 26 May 2026	None	Large Growth	High	Standard	26 May 2026 05:00, UTC

Price vs. Fair Value



Total Return % as of 22 May 2026. Last Close as of 22 May 2026. Fair Value as of 1 May 2026 17:20, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Western Digital Earnings: Margins Breach 50% as HDD Structural Shift Accelerates

Analyst Note Eric Compton, CFA, Director, 1 May 2026

Western Digital delivered another blowout quarter. Third-quarter revenue grew 45% year over year and non-GAAP gross margin exceeded 50% for the first time in company history. The company beat its own guidance, our expectations, and FactSet consensus.

Why it matters: After Seagate's great results just a couple of days ago, Western Digital's perhaps were not too surprising. Nearline exabytes shipped were up 37% year over year while pricing was up 8%.

- A key debate for hard disk drive makers—and all firms tied to the artificial intelligence buildout—is the surge's durability. At least for now, earnings visibility is at an all-time high. Western Digital has purchase orders and agreements extending into 2028 and 2029, effectively derisking the medium-term outlook.
- Agreements seem to lock in exabyte volume while leaving room for pricing upside as Western Digital meets certain capacity goals. Management said it has no plans to increase unit capacity and instead will bring more exabytes to market by increasing areal density.

The bottom line: We are increasing our fair value estimate once again, to $415 per share from $277, and view the shares as fairly valued. Each update has brought revisions to our exabyte assumptions (assuming even more shipped) and, most importantly, our pricing assumptions.

- We now forecast steady price hikes of 5% annually through 2030. We believe we are giving credit for

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Sector	Industry
Technology	Computer Hardware

Business Description

Western Digital is a leading vertically integrated supplier of hard disk drives. The HDD market is a practical duopoly, with Western Digital and Seagate being the two largest players. Western Digital designs and manufactures its HDDs, with much of the manufacturing and workforce located in Asia. The primary consumers of HDDs are data centers.

the cycle leading to favorable pricing through 2030; previously we were pricing in 2027, then 2028, and now we've jumped to 2030.

- Because Western Digital is essentially running a fixed-cost operating base, pricing hikes feed directly into better gross margins and materially alter the EPS growth trajectory.

Long view: We assume incremental gross margins trend toward 60% for the time being, although they were closer to 93% in the most recent quarter. This leads to a five-year EPS compound annual growth rate of 58%, or EPS of $53.31 by 2030, compared with our previous $27.36 estimate.

Business Strategy & Outlook Eric Compton, CFA, Director, 1 May 2026

Western Digital is a leader in hard disk drives. This market is concentrated, with only three players remaining: Western Digital, Seagate, and Toshiba. Seagate and Western Digital have jostled back and forth for top share over the last decade, while Toshiba remains a distant third. HDDs are being phased out in key end markets in favor of solid-state drives, but we still see a future for HDDs in data centers. Total cost of ownership still favors HDDs over SSDs for large workloads where controlling costs is paramount, but immediate read access is less important. This is commonly referred to as nearline storage, which we expect will make up almost all of Western's business over time.

We expect overall HDD industry revenue will grow at a 30%-plus average rate over the next several years, as prices rise and the amount of storage shipped increases. This is in stark contrast to the history of the industry, where pricing per exabyte typically fell. HDDs are in many ways a commodity-like product, and pricing power has historically been difficult, which has led to dramatic business cycles. However, we believe the current shift to data center-led demand and further concentration with the top two players could help structurally stabilize the industry. We believe this could lead to more predictable demand and more discipline from the HDD makers, granting Western Digital real pricing power and significant improvements in margins.

We think Western and Seagate will generally maintain technological parity over the long term. For now, though, Seagate has a slight edge, as it was more focused on heat-assisted magnetic recording technology, which is becoming the industry standard. Western's strategy of making incremental improvements via ePMR and OptiNAND technology has generally allowed it to keep up, but Seagate is already shipping 40-terabyte hard drives based on its Mozaic 4+ platform, while Western is shipping 32 TB drives based on its ePMR technology. We expect both companies will transition to HAMR, with drives in the 36-44 TB range, by 2027.

Bulls Say Eric Compton, CFA, Director, 1 May 2026

- Demand for data center buildouts is only increasing, driven by long-term structural trends such as AI and Internet of Things. This could prolong the current upcycle and make it more durable than previous cycles.

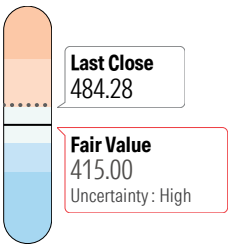
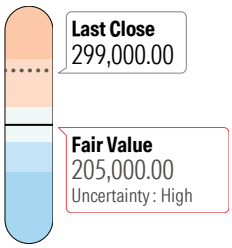
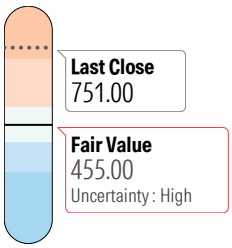
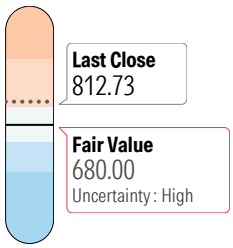
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Competitors

	Western Digital Corp WDC	Samsung Electronics Co Ltd 005930	Micron Technology Inc MU	Seagate Technology Holdings PLC STX
				
Economic Moat	None	None	None	None
Currency	USD	KRW	USD	USD
Fair Value	415.00 26 May 2026 16:26, UTC	205,000.00 26 May 2026 07:12, UTC	455.00 26 May 2026 16:23, UTC	680.00 26 May 2026 16:27, UTC
1-Star Price	643.25	317,750.00	705.25	1,054.00
5-Star Price	249.00	123,000.00	273.00	408.00
Assessment	Overvalued 26 May 2026	Overvalued 26 May 2026	Overvalued 26 May 2026	Overvalued 26 May 2026
Morningstar Rating	★★26 May 2026 05:00, UTC	★★26 May 2026 05:00, UTC	★26 May 2026 05:00, UTC	★★26 May 2026 05:00, UTC
Analyst	Eric Compton, Director	Jing Jie Yu, Equity Analyst	William Kerwin, Senior Equity Analyst	Eric Compton, Director
Capital Allocation	Standard	Standard	Standard	Standard
Price/Fair Value	1.26	1.46	1.97	1.24
Price/Sales	16.76	4.52	17.47	17.30
Price/Book	18.38	4.17	13.95	173.03
Price/Earning	31.40	23.97	42.26	80.24
Dividend Yield	—	0.56%	—	0.35%
Market Cap	180.82 Bil	1,963,402.37 Bil	1,010.43 Bil	189.70 Bil
52-Week Range	49.00—536.12	53,800.00—302,000.00	90.93—916.80	108.28—862.65
Investment Style	Large Growth	Large Blend	Large Growth	Large Growth

- ▶ Advancements in higher-capacity HDDs and new technologies like energy-assisted recording should modestly expand Western's midcycle gross margin.
- ▶ The HDD industry will be more disciplined on supply and pricing than in the past, which will reduce the cyclicality of the industry and increase profitability, warranting a higher valuation for Western.

Bears Say Eric Compton, CFA, Director, 1 May 2026

- ▶ The HDD market is commodity-like and cyclical, leaving Western vulnerable to market pricing declines that can shrink the top line and sink margins. In HDD downturns, these stocks can crater.
- ▶ The HDD industry has been through upcycles before, but in the end, it always goes through another cycle.
- ▶ The risk of HDD obsolescence, driven by displacement by SSDs, will always hang over Western. As more end markets phase out HDDs, the company is set to almost exclusively rely on the nearline storage market.

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Economic Moat Eric Compton, CFA, Director, 1 May 2026

We do not think Western Digital possesses an economic moat. Western Digital is a leader in the hard disk drive market. HDDs etch data onto spinning magnetic disks and have been around in one form or another since the 1950s. While the HDD market has high barriers to entry, given the massive capital investment required along with the technical expertise needed to design and manufacture industry-leading HDDs, we find the industry is not amenable to moats because HDDs are commodities with no pricing power. This leads to occasionally brutal business cycles and erodes economic profits. even though the industry is a functional oligopoly. We project that returns on invested capital will roughly match Western Digital's cost of capital.

The HDD market is an oligopoly—but practically a duopoly—with Western Digital and Seagate each controlling roughly 40% of the market and Toshiba at less than 20% share. HDDs serve two distinct market segments: consumer drives for computers and gaming, and mass-capacity enterprise drives for data centers. The former segment is undergoing a rapid decline, as solid-state drives built with NAND flash take over the consumer market. Compared with HDDs, SSDs are smaller, more durable, more energy-efficient, and much faster. They are also more expensive, which has historically been the bottleneck to full-scale adoption. However, the price gap between HDD and SSD has narrowed as flash technology advances. As SSDs now offer a better value proposition for consumer devices than HDDs, the share of HDDs in these devices has fallen.

For mass-capacity enterprise drives (also known as nearline drives), the cost discrepancy between HDD magnetic recording technology and flash is material. Western Digital and Seagate are continually improving areal storage density and implementing new technologies such as heat-assisted magnetic recording to further reduce the cost per HDD gigabyte at large-capacity points. As a result, the enterprise SSD cost per terabyte is still roughly 6-7 times more than a comparable HDD. On a total cost of ownership basis, the difference is still likely 3-4 times. With projected improvements in HDD capacity through 2030, getting to drives with 50 TBs or more of storage, we expect this gap will remain, keeping HDDs the more attractive option for data center nearline storage for the foreseeable future. Mass-capacity HDDs store the vast majority of data in a data center, and only “hot data”—newer data expected to be accessed frequently—is stored on enterprise SSDs for faster access.

While we do not have any immediate concerns about HDDs' technological obsolescence in the data center, product road maps generally extend only to 2030, and there is always a tail risk of better-than-expected SSD developments after 2030 or unforeseen hiccups in HDDs' own future development road map. As such, our first key concern is the tail risk of obsolescence for HDDs over the next decade, even if we view this risk as unlikely for the near to medium term.

End customers don't care which brand of HDD they use, and HDDs are interoperable, meaning

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customers can use HDDs from any manufacturer. As such, the market is driven by supply and demand. While companies like Western Digital can earn economic profits in times of tight supply, as supply inevitably expands and prices fall, the firm becomes vulnerable to economic losses. Given the cyclical nature of the industry, the potential for economic losses during a cycle, and the lack of any pricing power at the product level, we believe a no-moat rating is appropriate.

This is somewhat counterintuitive, as we believe both Western Digital and Seagate possess significant intangible assets in the design and manufacture of mass-capacity HDDs. These are complex technologies that require significant investment and technical expertise, making barriers to entry high in the HDD industry. But the remaining players in the industry are unable to translate these intangible assets into any pricing power, so they struggle to generate long-term economic profits.

Competition in nearline HDDs occurs primarily on the basis of capacity expansion and lowering the total cost of ownership at customers. Western and Seagate are constantly developing higher-capacity drives for enterprises; both have road maps for producing 36 TB drives and beyond, with long-term goals of reaching 100 TBs or more. This continues a constant pattern for the industry where both key players generally make similar technological progress and then compete on price to sell their HDDs. Even as the industry sells more storage over time (the number of terabytes shipped increases every year), because technological progress makes these bytes cheaper and more efficient, the cost per terabyte consistently goes down each year. This is a classic sign of a commodity industry.

While we still expect prices per terabyte to decline over time, they could start declining at a slower rate than in the past as the ongoing artificial intelligence boom could be driving a structural shift in the industry, where demand from data centers is more stable and predictable than previous end markets the HDD industry focused on, and where the Seagate and Western Digital oligopoly becomes more disciplined on supply and pricing. While the industry has technically been consolidated with three players since roughly 2012, it may not be until now, with the shift toward data center demand, when the industry finally realizes the benefits of its consolidation. This will be a key development to keep an eye on. If there is a path to a narrow moat in this industry, this seems the most likely.

There have been instances where one side of the duopoly beats the other to a capacity node. For example, Seagate was the first to ship 16 TB drives and gained enterprise market share from Western Digital in 2020 (fiscal 2021) as a result. Nonetheless, Western Digital has mostly caught up, and market share has stabilized since. We generally believe the two firms will maintain technological parity over the long term and expect any initial product advantages will likely even out and stabilize over time as the other side catches up

Fair Value and Profit Drivers Eric Compton, CFA, Director, 1 May 2026

Our fair value estimate is $415 per share. Our valuation implies an adjusted fiscal 2027 price/earnings

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ratio of 22 times, although we expect strong earnings growth will help Western Digital grow into a midteens multiple by fiscal 2027-28.

Western's stock has historically swung wildly, along with its revenue and margins, depending on the HDD cycle. While HDDs have historically been quite cyclical, a key part of our thesis is that the industry will be more stable over time due to demand primarily coming from data centers. We also assume the HDD industry has some indefinite staying power in the data center ecosystem. If we reach a point where HDDs are replaced even in data centers, there would be downside to our fair value estimate.

We expect Western Digital to increase its HDD revenue at a compound annual growth rate of 31% from fiscal 2025 through 2030. HDD growth is largely driven by data center nearline storage demand, which we expect to be robust, driven by AI-related demand.

We expect Western's gross margins will be structurally higher than in the past, driven by steadier data center demand and more-disciplined pricing and supply management from the HDD industry. Surging AI and cloud storage demand is leading to an upcycle for the HDD industry, with higher exabyte shipments and less pricing degradation driving gross margins higher. While we previously believed that gross margins of 40% would represent the peak, we now model gross margins of 54% in the final years of our forecast. There arguably could be upside to this, given incremental gross margins of over 90% in the second quarter of 2026. This is driven by pricing gains from HAMR shipments (pricing per terabyte does not deteriorate to the same degree as it has in the past, allowing Western to capture more of the economics), which is enabled by more predictable demand from data centers and more discipline in supply from the HDD makers. The company is already hitting gross margins of over 50%.

We think operating margins will continue to improve as Western gains operating leverage by shipping an increasing amount of exabytes, generating more revenue while maintaining roughly the same unit shipment amounts. We see inherent operating leverage in this business, and have Western hitting midcycle non-GAAP operating margins of 49% over the long term. We don't see why operating expenses will need to grow at more than a mid- to high-single-digit percentage annually, which should lead to good margin expansion.

Risk and Uncertainty Eric Compton, CFA, Director, 1 May 2026

We assign Western Digital a High Morningstar Uncertainty Rating, due in large part to its vulnerability to pricing and cyclical downturns, as well as the difficulty of modeling the impacts of the AI buildout. As each HDD cycle plays out, revenue and profit can swing dramatically for the industry in general and for Western Digital specifically. This creates a higher degree of uncertainty in our forecasts, and the stock price often moves dramatically during a cycle. However, the industry could be entering a new era, with demand centralized among data centers, particularly the major cloud service providers, which makes demand easier to predict. This has led to a major upswing for the industry.

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Another key risk that is hard to discount is the risk of Western's HDD business facing obsolescence over the very long term (more than 10 years from now), depending on how HDD and SSD technologies develop, along with how workloads in data centers develop.

We expect robust demand for nearline drives over the medium term, even as advancements in NAND move flash closer to cost parity. If a time comes where the total cost of ownership for mass-capacity SSDs dips below that of nearline HDDs, we would expect Western's HDD sales to begin a steady decline.

We foresee minimal environmental, social, and governance risk for Western Digital. We think its largest ESG risk would be losing human capital to competitors, but don't see evidence of a shift occurring.

Capital Allocation Eric Compton, CFA, Director, 1 May 2026

We give Western Digital a Standard Morningstar Capital Allocation Rating, based on our assessment of a sound balance sheet, fair investments, and appropriate shareholder distributions.

While the balance sheet has had moments of weakness, the firm has now deleveraged and is in a solid financial position for the future.

We think Western's investment record has been fair. The firm has historically focused on large acquisitions: the $4.8 billion purchase of Hitachi in 2012 during the HDD market consolidation, and the $19 billion acquisition of Sandisk in 2016 to enter the flash market. While consolidation in the HDD industry was the right strategy, the spinoff of Sandisk highlights that Western's foray into SSDs has been mixed. Overall, we rate the Sandisk acquisition as net neutral, and we think the spinoff was the right strategic move, as it gives investors access to two pure-play entities in their respective markets. It frees Western Digital from the even more cyclical and higher-capital-intensity NAND industry and allows it to focus more intensely on returning capital to shareholders. Western also did not pursue HAMR technology with the same intensity as rival Seagate, which has given Seagate a slight lead for now. However, we expect both firms to ramp up HAMR production and volume in 2027, so we do not think Western has fallen behind permanently.

Finally, we think Western Digital's shareholder distributions are appropriate. We think the Sandisk spinoff and the increased focus on returning at least 100% of free cash flow to shareholders are absolutely the right moves for a mature, slower-growth, highly cash-generative company like Western Digital. We think reinstating the dividend makes sense and see room for additional dividend growth. We also expect share repurchases to return as a primary use of excess cash flows. Western Digital is becoming a cash-flow-returning machine, which we think is appropriate.

Analyst Notes Archive

Western Digital Earnings: Strong Earnings and Outlook as HDD Supercycle Continues Eric Compton, CFA,Director,30 Jan 2026

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Western Digital's revenue grew 25% year over year, while gross margins improved another 220 basis points quarter over quarter. We expected Western Digital to beat guidance and consensus, and it did. Why it matters: Similar to peer Seagate, current quarterly results were solid, but what was even more important was the outlook. The guide for the next quarter implies incremental gross margins will remain above 60%, while the company likely adds another $200 million of incremental revenue. In our previous update, we predicted that pricing would turn even more positive, and it did: our estimated average price per terabyte increased by over 2% in the quarter. Management commentary on the stability of the pricing environment was also positive. This could last a while. Western Digital already has purchase orders lined up for its top seven customers for all of 2026. Three of those customers have established agreements through 2027, and one customer has already reserved capacity for 2028. The bottom line: We are increasing our fair value estimate to $277 from $200. While our earnings estimates were ahead of FactSet consensus heading into earnings, we still ended up materially raising our estimates again after today's update, as we now forecast pricing will remain flat through fiscal 2028. Compared with Seagate, we believe Western Digital is slightly more attractive on valuation grounds. Seagate's stock price is above our fair value, while Western Digital's is not, and our implied forward multiples are slightly lower for Western Digital as well. After such a large move, we know investors are wondering if the run is over or if there could be more upside. We believe that if the pricing environment is even stronger than our current projections, with pricing increases in 2027 and 2028, there could be more upside remaining.

Western Digital Earnings: AI Drives Excellent Demand and Pricing Environment for HDDs Eric Compton, CFA,Director,31 Oct 2025

Western Digital's first-quarter fiscal 2026 revenue grew 27% year over year to $2.8 billion, 89% of which were cloud-related sales. Non-GAAP gross margin expanded 660 basis points year over year to 43.9% while non-GAAP operating margins expanded 1,200 basis points to 30.4%. Why it matters: Artificial intelligence's insatiable demand for storage capacity is creating a perfect environment for hard-disc drives. Exabytes shipped are growing 30% for nearline drives, while higher-capacity ePMR drives continue to make up a greater mix of overall sales. The most impressive aspect of earnings to us was the gross margin expansion. For a business that historically struggled to break 30%, Western Digital is already hitting over 40%, with incremental gross margins over 50%. Importantly, these gross margins do not appear to be temporary. Management was clear that they are adding no new manufacturing capacity, and orders through calendar 2027 are already being booked. We expect this dramatic shift to be maintained. The bottom line: We are materially increasing our fair value estimate for no-moat Western Digital to $165 from $82. This puts us firmly in the "new normal" cap, and if AI demand and pricing remain this strong past 2027, we could even see upside from here. How long this can last is, of course, the key question. We now forecast the company hitting gross margins consistently at the mid-40% level, which was unthinkable not long ago, and depends on consistent AI-related demand and

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Western Digital Corp WDC ★★ 26 May 2026 21:26, UTC

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industry pricing discipline, which we see clear evidence of today. We also expect revenue growth to be much better than previously thought, driven by exabyte shipments growing at a five-year compound annual growth rate of 22%, with pricing per byte only declining at a CAGR of negative 7%. This means we expect Western Digital to keep a large percentage of the economics, unlike in the past.

Western Digital Earnings: Strong Results as Cloud Demand Accelerates; Raising Fair Value Estimate

Eric Compton, CFA,Director,31 Jul 2025

Western Digital delivered robust fiscal fourth-quarter results, reporting year-over-year revenue growth of 30% to $2.6 billion, exceeding the high end of guidance. Non-GAAP gross margin improved to 41.3%, the best result in many years.Why it matters: Similar to peer Seagate, Western Digital is showing signs that the hard disk drive industry is entering a new era, with both companies benefiting from consistent data center demand and ramping higher-capacity HDD volume. Exabyte demand held up well in the quarter, with exabytes shipped rising 32% year over year, supporting the long-term outlook for a 20% compound annual growth rate for demand. Pricing, an even more important data point to us, continues to hold up well, as we estimate cloud HDD pricing per terabyte was up 4% quarter over quarter. A more stable pricing environment, with benefits accruing to Western Digital, is a tenet of the new-era thesis.The bottom line: Given current results, the strong guidance for next quarter, and our evolving thesis on the HDD industry, we are raising our fair value estimate for Western Digital to $82 per share from $48. We now view the shares as fairly valued. We had been skeptical that the industry would be different this time, but current data points, recent investor days, and the structural shift from fragmented and cyclical consumer end markets to more-steady and concentrated data centers have us updating our thesis. We have increased our revenue forecast, driven by less pricing deterioration per terabyte, and increased our gross margin assumptions, as we now believe margins will be structurally higher for the industry. We have also given more credit for operating leverage in the expense base.Coming up: While Western is slightly behind Seagate on its ramp-up in heat-assisted magnetic recording, it expects to finish qualifying HAMR with key clients by the end of calendar 2026 and ramp up production in 2027.

Western Digital Earnings: First Quarter as Stand-Alone Company Shows a Strong HDD Business Eric Compton, CFA,Director,1 May 2025

Western Digital reported its first stand-alone quarterly results after the spinoff of SanDisk. The company saw year-over-year revenue growth of 38% and instituted a quarterly dividend. Why it matters: Western Digital provided its first official outlook as a stand-alone company, and it was solid. Management expects fourth-quarter revenue and margins to be higher than we originally expected, and gross margin development was also very encouraging. Despite tariff fears, management believes it will see minimal impact for now, although we don't think the industry is completely out of the woods yet. Hard disk drives are technically exempt from tariffs for now, so we wouldn't expect any effects just yet. The true

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test will come once the tariffs take effect. Management believes gross margins could continue to expand from here as the mix of higher-density HDDs increases. This gives some credence to the claim that the HDD industry can be more disciplined in the future, leading to higher and more stable margins. The bottom line: Given the solid results, we are increasing our fair value estimate to $48 per share from $41, and we view shares as mildly undervalued. Moderately higher revenue growth assumptions drive our fair value increase as we gain more confidence in the demand and pricing environment, along with slightly better margin assumptions, driven by the expectation of more disciplined supply combined with higher-density technologies. Between the two HDD providers, we think Western Digital is more attractive from a valuation perspective. Even so, we think Seagate will take some share from Western Digital, given its faster ramp of HAMR technology. Coming up: Management has already cited good visibility for 2026, driven by hyperscalers signing initial long-term agreements. However, we would caution investors that LTAs have not always been a guarantee of future outcomes in the semiconductor business.

Western Digital: Relaunching Coverage After SanDisk Spinoff With Fair Value of $41; Shares Expensive Eric Compton, CFA,Director,25 Feb 2025

We are relaunching our coverage of Western Digital after the spinoff of its NAND memory business SanDisk, with a fair value estimate of $41 for the stand-alone company. With shares trading at $49 as of writing, we think they are a bit expensive. We retain our no-moat, High Morningstar Uncertainty, and Standard Capital Allocation Ratings for the firm.We continue to view the hard disk drive business as subject to commoditylike pricing pressure as Western Digital and Seagate compete against each other, along with Toshiba. This leads to occasionally brutal business cycles and erodes economic profits. We project ROICs will roughly meet the cost of capital for Western Digital.Our valuation implies an adjusted fiscal 2026 price/earnings ratio of 10 times (2026 is the first “clean” year without SanDisk). We model a “through the cycle” valuation, and we expect the stock will trade above our fair value during cycle peaks, and below during cycle troughs. With the current surge in revenue in fiscal 2025, our sense is sentiment is fairly positive on the name and we’re closer to cyclical peak revenue and margins. We also assume the HDD industry has some indefinite staying power within the data center ecosystem. If we reach a point where HDDs are replaced even in data centers, there would be downside to our fair value.We expect Western Digital to increase its HDD revenue at a compound annual growth rate of 10% from fiscal 2025 through 2029. This is largely driven by a surge in sales in fiscal 2025, 43% growth, and the four-year revenue CAGR from 2025 to 2029 is only 3%. Our growth assumptions are driven by a surge in cloud demand following the collapse in sales in 2023 and 2024. We then expect higher cloud revenue to roughly offset declines in the client and consumer end markets. We assume gross margins normalize at roughly 36%, which is again our attempt at a “through the cycle” view, and we expect margins will be higher than this at the peak, and much lower at the trough.

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Putting Western Digital Shares Under Review; We Plan to Relaunch Coverage Within 24 Hours Eric Compton, CFA,Director,24 Feb 2025

We are putting shares of Western Digital under review following the spinoff of SanDisk. We plan to relaunch coverage under a new analyst for standalone Western Digital within 24 hours.

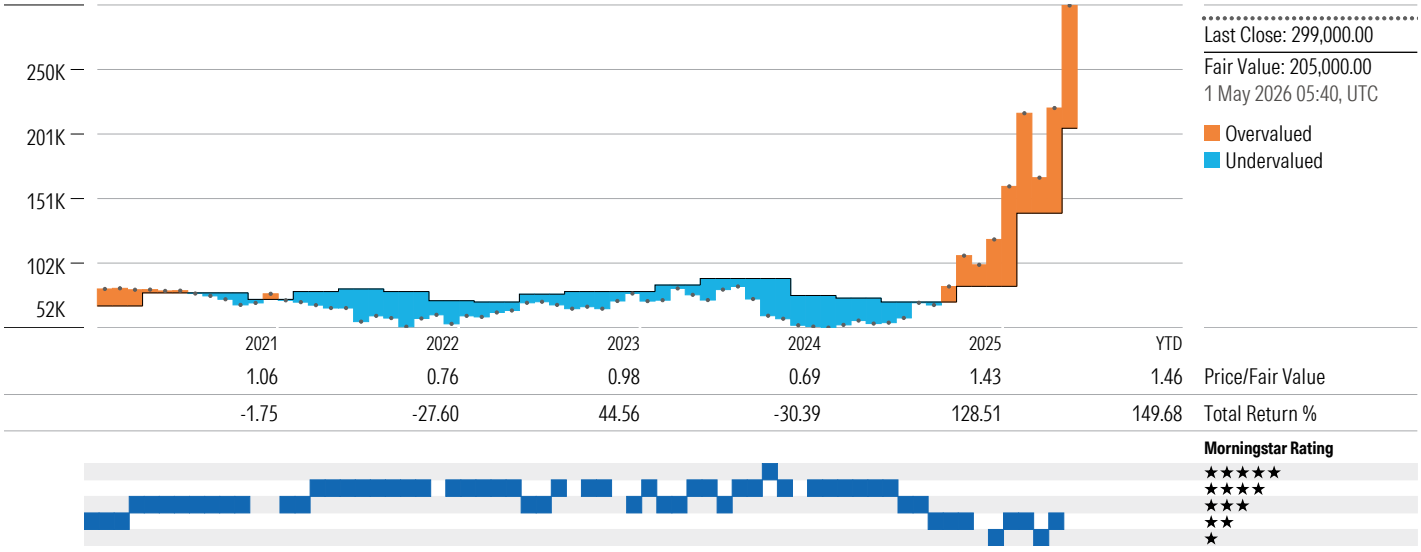
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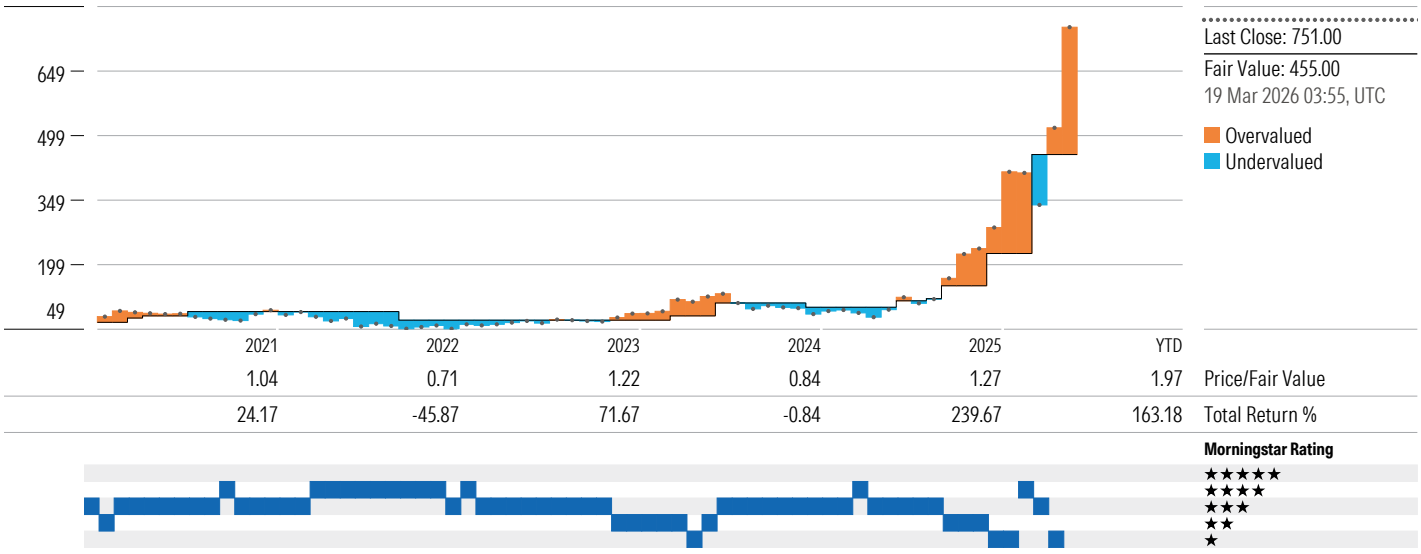
Competitors Price vs. Fair Value

Samsung Electronics Co Ltd 005930



Total Return % as of 26 May 2026. Last Close as of 26 May 2026. Fair Value as of 1 May 2026 05:40, UTC.

Micron Technology Inc MU



Total Return % as of 22 May 2026. Last Close as of 22 May 2026. Fair Value as of 19 Mar 2026 03:55, UTC.

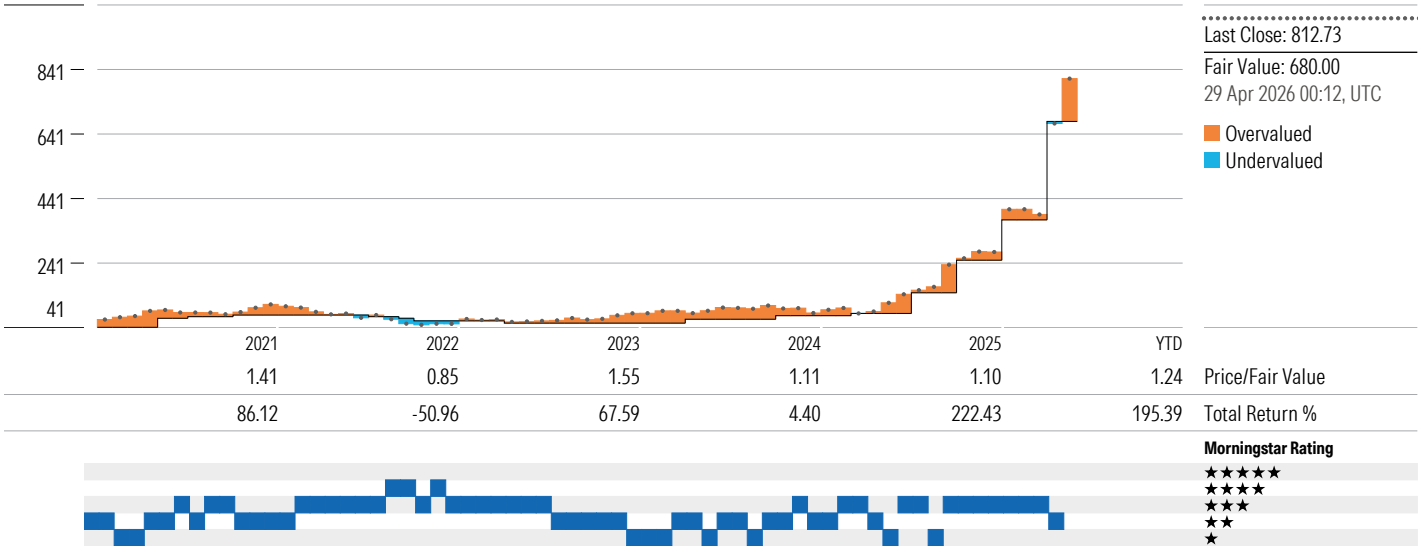
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Competitors Price vs. Fair Value

Seagate Technology Holdings PLC STX



Total Return % as of 22 May 2026. Last Close as of 22 May 2026. Fair Value as of 29 Apr 2026 00:12, UTC.

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Morningstar Valuation Model Summary

Financials as of 01 May 2026	Actual			Forecast				
Fiscal Year, ends 30 Jun	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Revenue (USD Mil)	6,255	6,317	9,520	12,967	17,527	23,145	29,536	37,183
Operating Income (USD Mil)	-402	97	2,130	4,531	7,496	10,447	13,885	17,883
EBITDA (USD Mil)	-159	224	1,895	9,247	7,833	10,897	14,442	18,559
Adjusted EBITDA (USD Mil)	519	873	2,777	5,689	8,066	11,061	14,628	18,757
Net Income (USD Mil)	-1,708	-852	1,844	7,402	6,161	8,602	11,456	14,774
Adjusted Net Income (USD Mil)	-1,157	-238	1,972	3,716	6,387	8,798	11,703	15,072
Free Cash Flow To The Firm (USD Mil)	-1,170	-297	4,764	3,235	4,679	7,503	9,496	12,379
Weighted Average Diluted Shares Outstanding (Mil)	318	326	359	348	335	323	304	283
Earnings Per Share (Diluted) (USD)	-5.37	-2.61	5.14	21.26	18.37	26.67	37.64	52.25
Adjusted Earnings Per Share (Diluted) (USD)	-3.64	-0.73	5.49	10.67	19.05	27.27	38.45	53.31
Dividends Per Share (USD)	0.00	0.00	0.00	0.50	0.85	1.00	1.10	1.20

Margins & Returns as of 01 May 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Operating Margin %	0.3	-6.4	1.5	22.4	34.9	42.8	45.1	47.0	48.1	50.2
EBITDA Margin %	—	-2.5	3.6	19.9	71.3	44.7	47.1	48.9	49.9	—
Adjusted EBITDA Margin %	—	8.3	13.8	29.2	43.9	46.0	47.8	49.5	50.4	47.5
Net Margin %	-7.1	-27.3	-13.5	19.4	57.1	35.2	37.2	38.8	39.7	41.6
Adjusted Net Margin %	-0.5	-18.5	-3.8	20.7	28.7	36.4	38.0	39.6	40.5	36.7
Free Cash Flow To The Firm Margin %	8.9	-18.7	-4.7	50.1	24.9	26.7	32.4	32.2	33.3	29.9

Growth & Ratios as of 01 May 2026		Actual			Forecast					
	3 Year CAGR	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year CAGR**
Revenue Growth %	1.7	-30.8	1.0	50.7	36.2	35.2	32.1	27.6	25.9	31.3
Operating Income Growth %	70.3	-193.3	-124.1	2095.9	112.7	65.5	39.4	32.9	28.8	53.0
EBITDA Growth %	297.7	-119.2	-240.9	746.0	388.0	-15.3	39.1	32.5	28.5	-3.0
Adjusted EBITDA Growth %	19.6	-68.0	68.2	218.1	104.9	41.8	37.1	32.2	28.2	46.5
Earnings Per Share Growth %	1.6	-209.8	-51.3	-296.5	314.0	-13.6	45.1	41.1	38.8	59.0
Adjusted Earnings Per Share Growth %	1.6	-143.5	-79.9	-852.4	94.3	78.5	43.2	41.0	38.6	59.0

Valuation as of 01 May 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	—	-103.8	11.7	49.2	27.5	19.2	13.6	9.8
Price/Sales	—	4.1	2.3	13.9	10.3	7.8	6.1	4.9
Price/Book	—	2.3	4.3	18.3	16.1	13.7	13.3	10.2
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	—	37.5	8.9	31.5	22.2	16.2	12.2	9.6
EV/EBIT	—	337.5	11.6	39.5	23.9	17.2	12.9	10.0
Dividend Yield %	—	—	—	0.1	0.2	0.2	0.2	0.2
Dividend Payout %	0.0	0.0	0.0	4.7	4.5	3.7	2.9	2.3
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 01 May 2026	Actual			Forecast				
Fiscal Year, ends 30 Jun	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	-3.5	13.2	48.1	35.9	43.7	55.8	59.9	0.0
ROE %	-7.7	33.3	72.5	55.2	68.5	93.8	99.6	0.0
ROIC %	-4.0	12.6	20.6	50.8	65.2	80.0	95.0	—

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 30 Jun	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	36.8	23.1	17.4	1.1	1.0	1.0	1.0	0.9
Assets/Equity	2.1	2.2	2.5	1.5	1.5	1.6	1.7	1.7
Net Debt/EBITDA	-31.7	26.3	1.2	-0.1	-0.2	-0.2	-0.1	-0.1
Total Debt/EBITDA	13.6	8.5	1.7	0.3	0.2	0.1	0.1	0.1
EBITDA/ Net Interest Expense	1.7	2.2	8.8	8.2	240.3	256.9	339.8	435.7

Forecast Revisions as of 1 May 2026	2026		2027		2028	
Prior data as of 29 Jan 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	415.00	276.55	—	—	—	—
Revenue (USD Mil)	12,967	12,501	17,527	15,484	23,145	18,931
Operating Income (USD Mil)	4,531	4,059	7,496	5,660	10,447	7,221
EBITDA (USD Mil)	5,689	4,658	8,066	6,207	11,061	7,784
Net Income (USD Mil)	3,716	3,285	6,387	4,712	8,798	5,984
Earnings Per Share (Diluted) (USD)	21.26	13.68	18.37	13.41	26.67	17.93
Adjusted Earnings Per Share (Diluted) (USD)	10.67	9.39	19.05	13.94	27.27	18.43
Dividends Per Share (USD)	0.50	0.25	0.85	0.85	1.00	1.00

Key Valuation Drivers as of 01 May 2026

Cost of Equity %	8.9
Pre-Tax Cost of Debt %	4.4
Weighted Average Cost of Capital %	8.1
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	0.0
Stage II Investment Rate %	5.0
Perpetuity Year	10

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 01 May 2026

	USD Mil
Present Value Stage I	25,699
Present Value Stage II	33,887
Present Value Stage III	74,701
Total Firm Value	**134,288**
Cash and Equivalents	2,114
Debt	4,711
Other Adjustments	0
Equity Value	**131,691**
Projected Diluted Shares	341
Fair Value per Share (USD)	**415.00**

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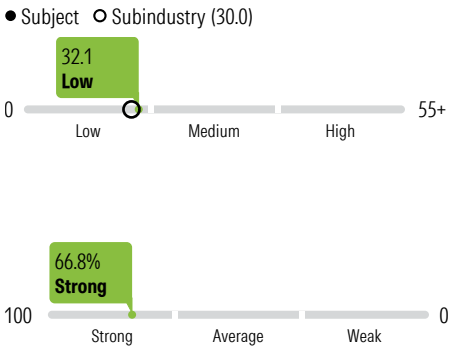
MORNINGSTAR®

Western Digital Corp WDC ★★ 26 May 2026 21:26, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
484.28 USD 22 May 2026	415.00 USD 1 May 2026 22:20, UTC	1.26	180.84 USD Bil 26 May 2026	None	Large Growth	High	Standard	 26 May 2026 05:00, UTC

ESG Risk Rating Breakdown

Exposure	
Company Exposure[1]	32.1
– Manageable Risk	30.5
Unmanageable Risk[2]	**1.6**
Management	
Manageable Risk	30.5
– Managed Risk[3]	20.4
Management Gap[4]	**10.1**
Overall Unmanaged Risk	**11.7**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 26, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Technology Hardware. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 66.8% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 26 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Western Digital Corp	32.1 | Low	0	55+	66.8 | Strong	100	0	11.7 | Low	0	40+
Micron Technology Inc	51.8 | Medium	0	55+	67.7 | Strong	100	0	19.6 | Low	0	40+
Seagate Technology Holdings PLC	36.3 | Medium	0	55+	70.0 | Strong	100	0	12.8 | Low	0	40+
Samsung Electronics Co Ltd	37.5 | Medium	0	55+	71.5 | Strong	100	0	12.6 | Low	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Western Digital Corp WDC 26 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★	★★	★★★	★★	★★★

Samsung Electronics Co Ltd 005930 26 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★

Micron Technology Inc MU 26 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★

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Seagate Technology Holdings PLC STX 26 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★★	★★★	★★	★★★	★★	★★	★	★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

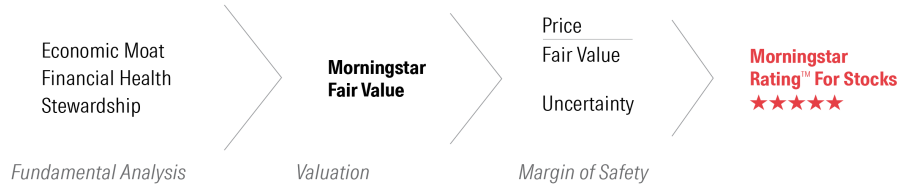
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

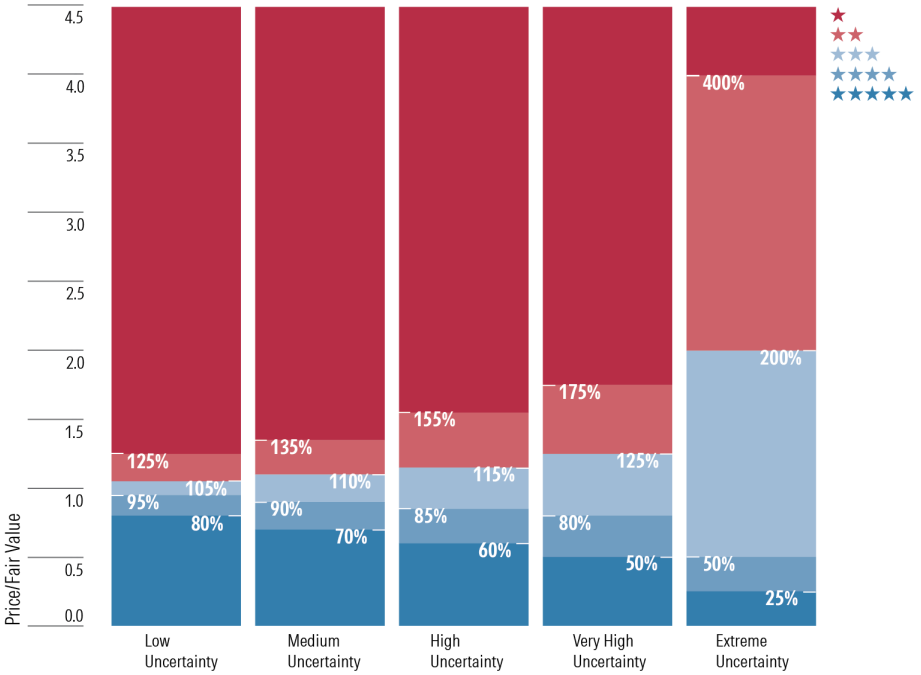
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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